

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

Exploring a Med Center Health DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

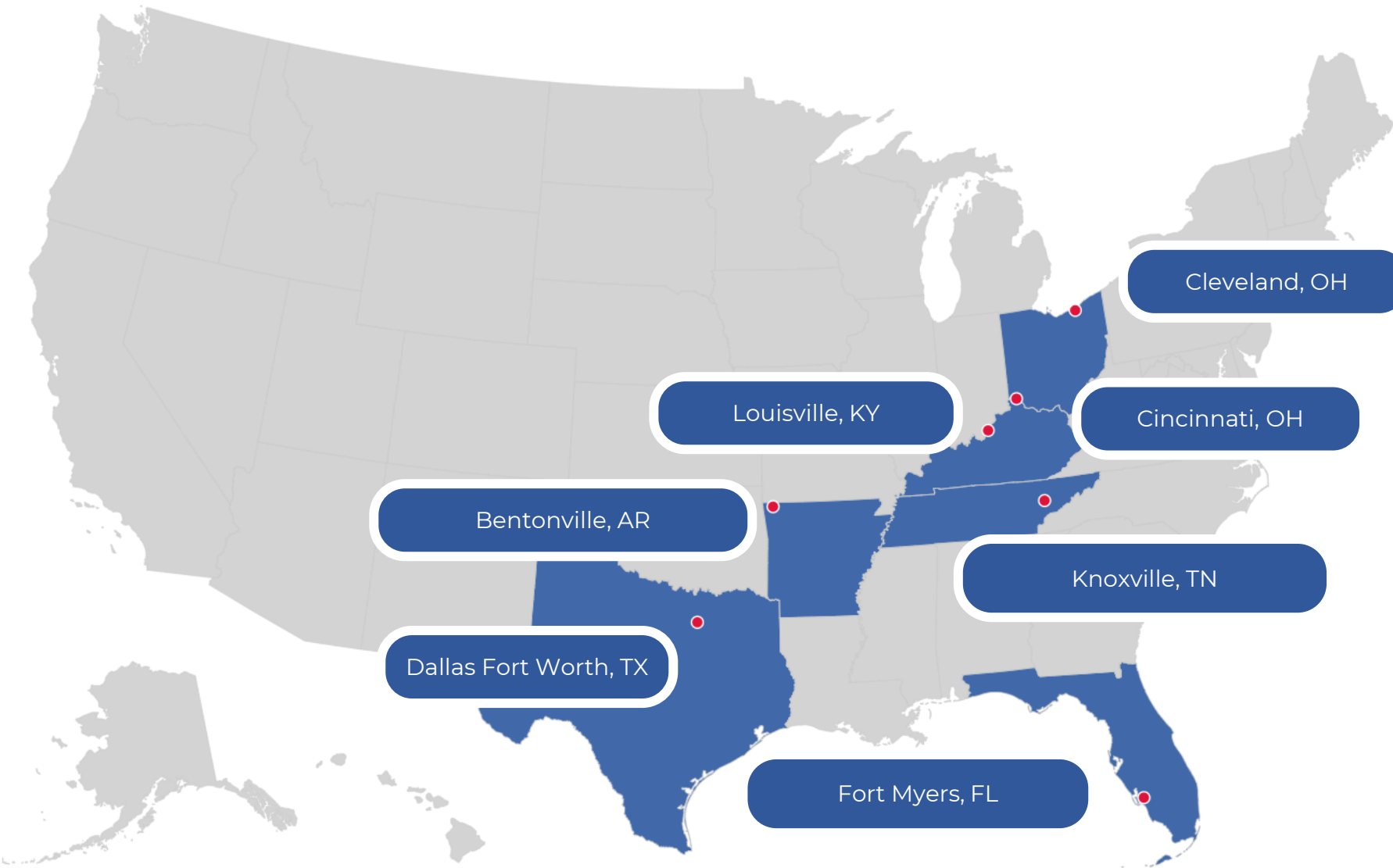
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS

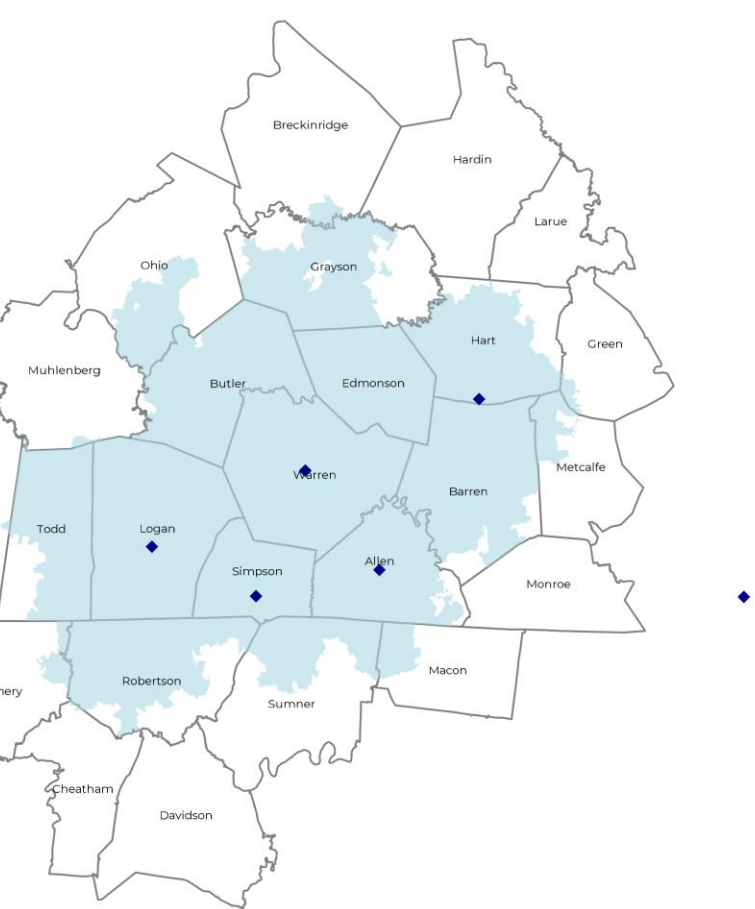


SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

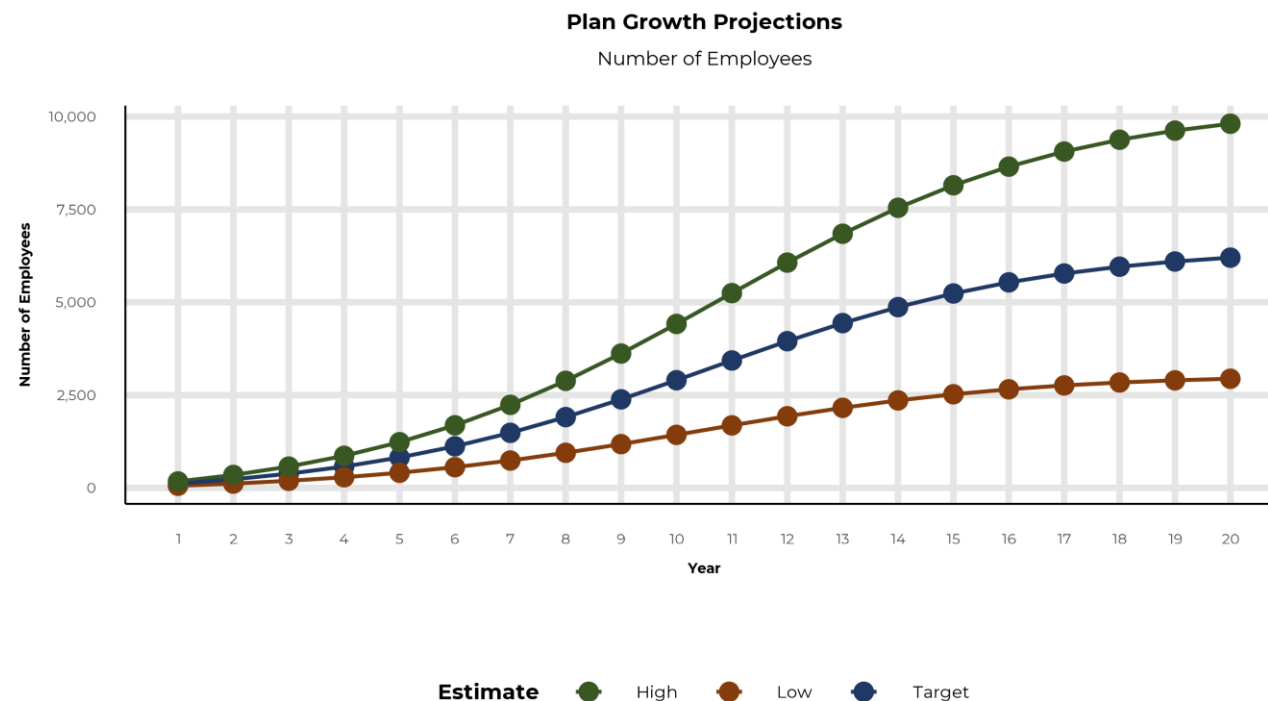
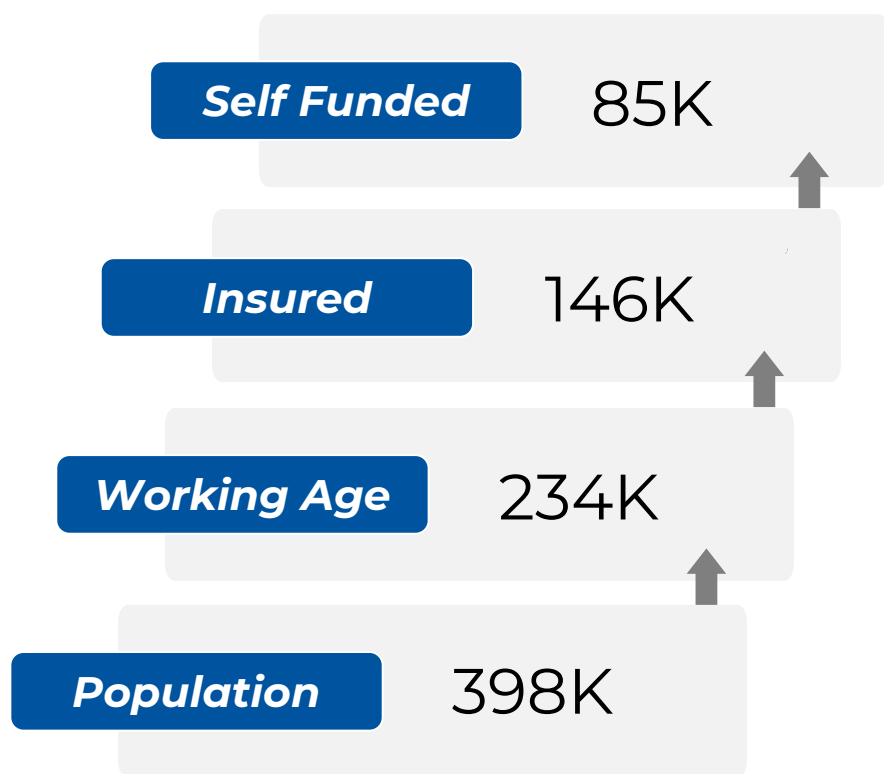
Target Market

250+ Employers ➤ 60,000+ Employees ➤ 120,000+ Members



	Employer Size Group (# of Employees)					
	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Commercial Employers With Headquarters In Catchment Area	134	54	39	26	9	3
Total Employees at Employers Headquartered in Catchment Area	10,100	8,100	11,700	18,200	18,000	18,000
Total Members with Employers Headquartered in Catchment Area	18,200	14,600	21,100	32,800	32,400	32,400

PLAN POTENTIAL GROWTH PATHS



Estimates includes the Med Center Health service area in Allen, Barren, Butler, Edmonson, Grayson, Hart, Logan, Metcalfe, Ohio, Simpson, Todd, Warren, Montgomery, Robertson, and Sumner Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue:

\$1.04M

New Profit:

\$0.16M

Growth Stage

Strong Reputation, Strong Growth

New Revenue:

\$5.88M

New Profit:

\$1.87M

Mature Stage

High Profitability, Market Saturation

New Revenue:

\$11.65M

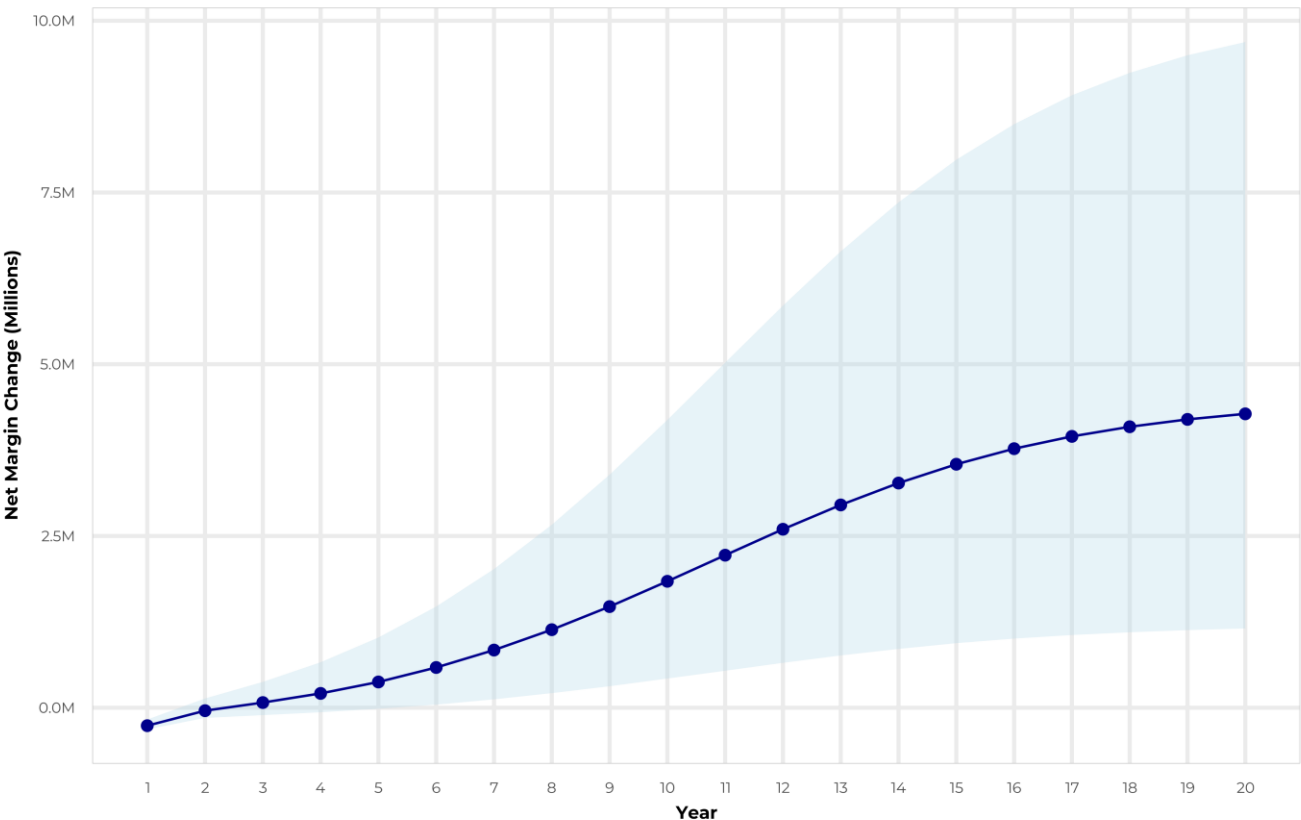
New Profit:

\$3.87M

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 33.6%

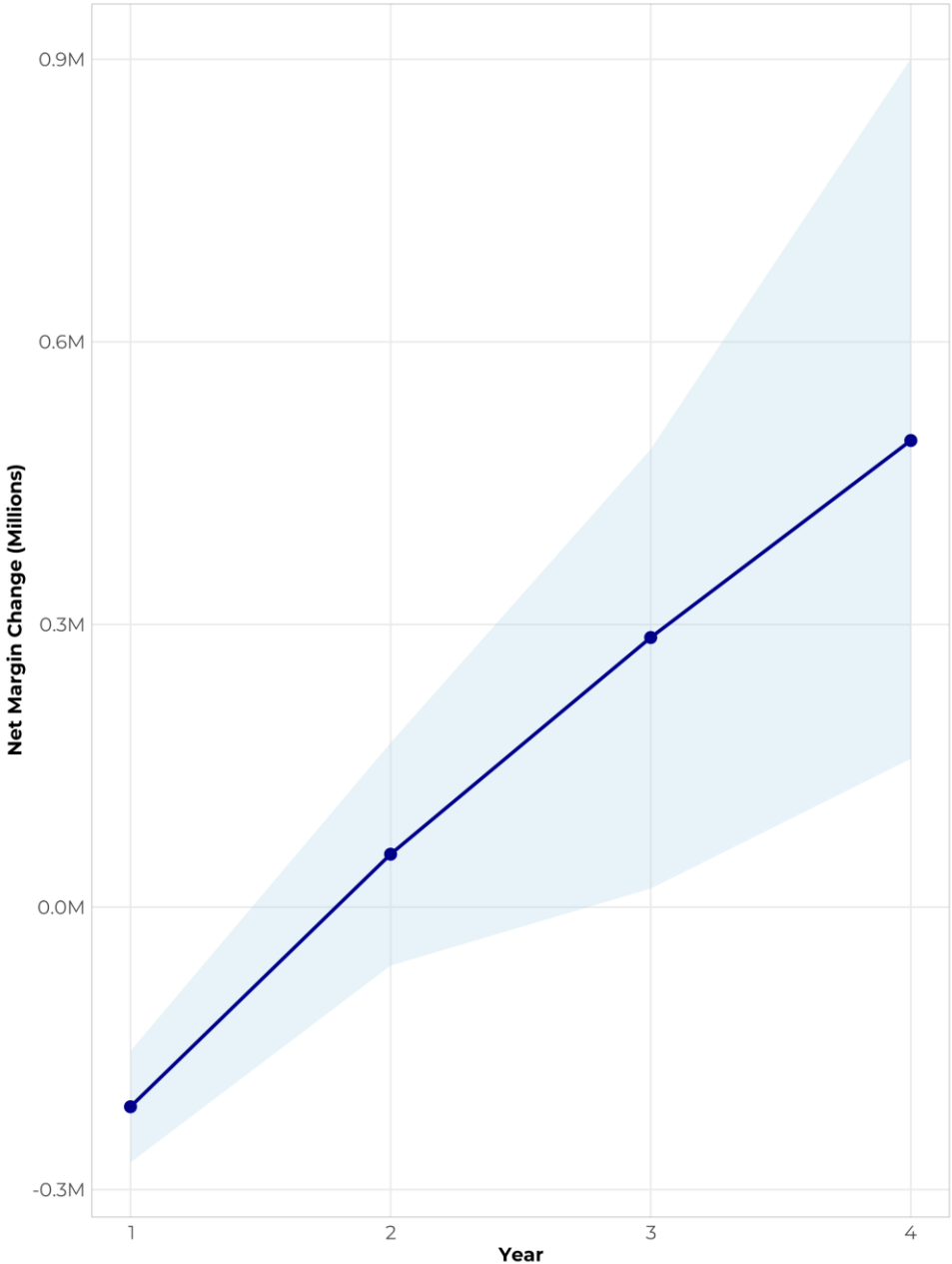


FOUR-YEAR PROJECTIONS

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 33.6%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	200	400	700	1,000
Incremental Margin	115.7K	231.4K	457.8K	663.3K
Network Access Fee	2.4K	4.8K	8.4K	12.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-211.9K	56.2K	286.2K	495.3K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	300	600	1,000	1,600
Incremental Margin	173.5K	347.0K	653.9K	1,061.3K
Network Access Fee	3.6K	7.2K	12.0K	19.2K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-152.9K	174.2K	485.9K	900.5K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	100	200	300	500
Incremental Margin	57.8K	115.7K	196.2K	331.6K
Network Access Fee	1.2K	2.4K	3.6K	6.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	-271.0K	-61.9K	19.8K	157.6K

COMPLETE MARKETING SYSTEM

- Customized Branding and Messaging
- Customized Brochures
- Customized Web Site
- Targeted Employer Outreach
- Sales System (Social Media, Email, Text, etc.)



PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing Med Center Health for Inpatient Care	Percent of Members Choosing Med Center Health for Outpatient Care
1	100	200	77%	70%
2	200	400	77%	70%
3	400	700	77%	73%
4	600	1,100	77%	74%
5	800	1,400	77%	74%
6	1,100	2,000	77%	74%
7	1,500	2,700	77%	74%
8	1,900	3,400	77%	74%
9	2,400	4,300	77%	74%
10	2,900	5,200	77%	75%
11	3,400	6,100	77%	75%
12	4,000	7,200	77%	75%
13	4,400	7,900	77%	75%
14	4,900	8,800	77%	75%
15	5,200	9,400	77%	75%
16	5,500	9,900	77%	75%
17	5,800	10,400	77%	75%
18	6,000	10,800	77%	75%
19	6,100	11,000	77%	75%
20	6,200	11,200	77%	76%

KBA currently estimates that Med Center Health has 70% inpatient market share, and 50% outpatient market compared to hospitals/clinics in the Med Center Health service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Med Center Health.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 1,000 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 1,928,560	\$ 2,504,403	\$ 1,169,535	\$ 5,602,497
Net Income‡	\$ 647,996.1	\$ 841,479.3	\$ 392,963.7	\$ 1,882,439

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 2,122,614	\$ 3,693,449	\$ 1,724,809	\$ 7,540,872
Net Income*	\$ 713,198.2	\$ 1,240,999	\$ 579,536	\$ 2,533,733

† Assuming proportional revenues from market shares of 70% (inpatient) and 50% (outpatient)

‡ Conservatively assuming a commercial margin of 33.6% (80% of the estimated commercial margin)

° Assuming 77% inpatient and 74% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 33.6%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 651,294.1
Network Access Fee (Revenue) of \$1 PMPM	\$ 12,000
Total Profit Growth	\$ 663,294.1
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 483,294.1

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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